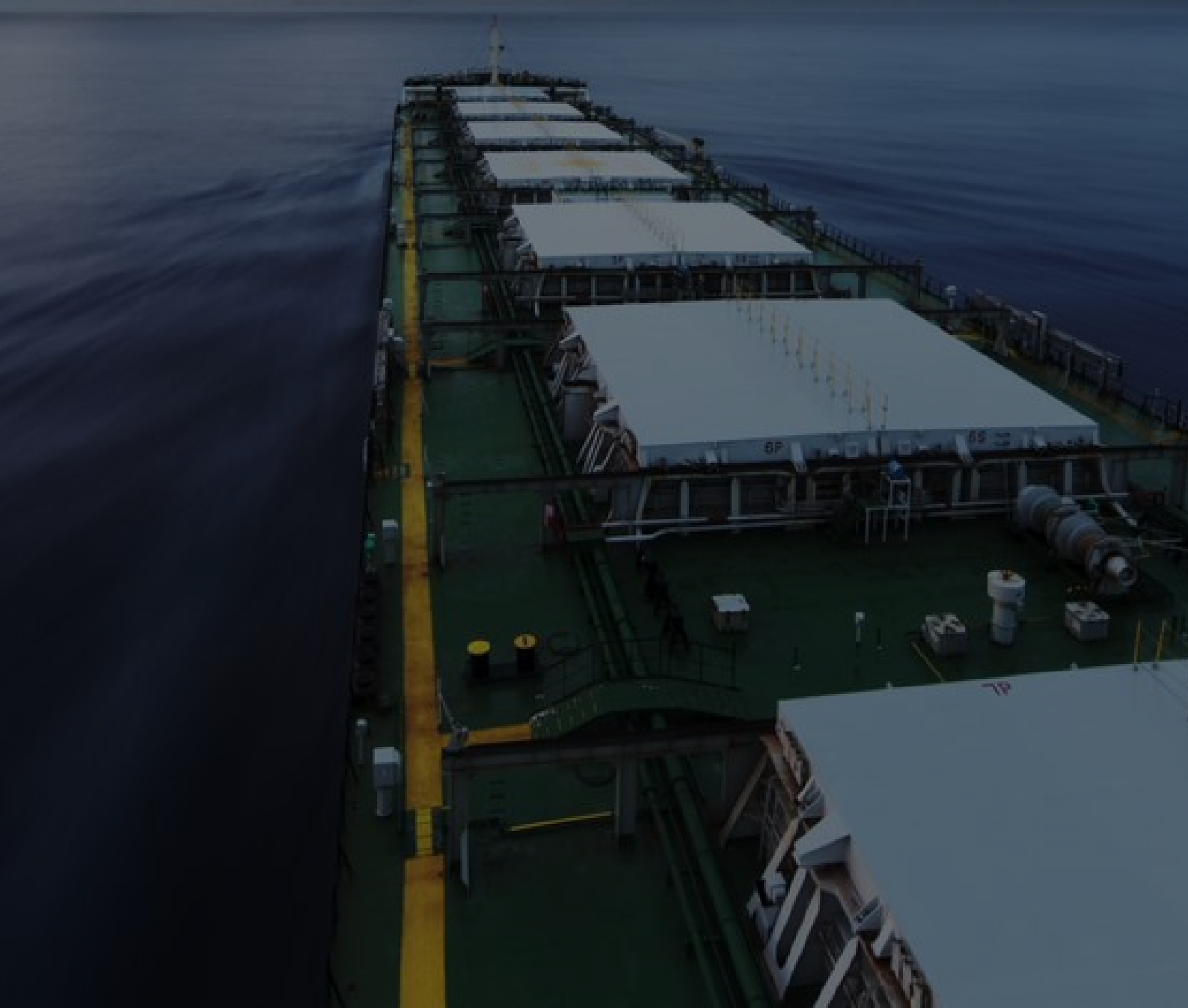


Fearnleys Dry Bulk Weekly

Jul 9, 2025



Capesize/Newcastlemax

Three weeks ago, we wrote:

The topping phase is most likely moving toward a downward phase now. C5 is falling as the fiscal year-end fixing is past us. That, along with the Bauxite downseason, will weigh on the market in the next couple of months. However, the Brazilian "high season" will be a bullish factor.

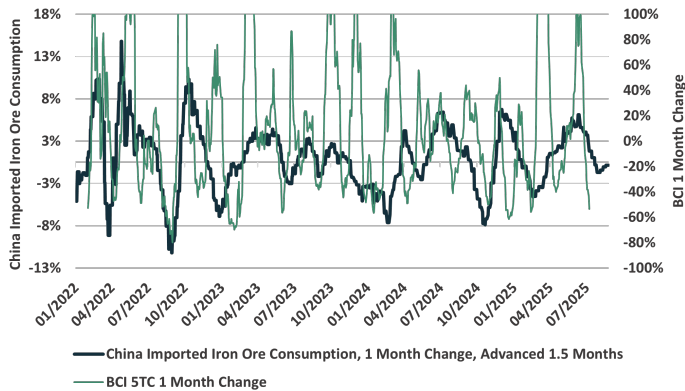
Then two weeks ago, we followed up with:

The iron ore indicators displayed below all suggest a softening trend over the coming months. However, the Brazilian high season will be supportive, and as of now, it seems there will be no major drop in China's imported iron ore consumption, as steel mills' profit margins are relatively healthy.

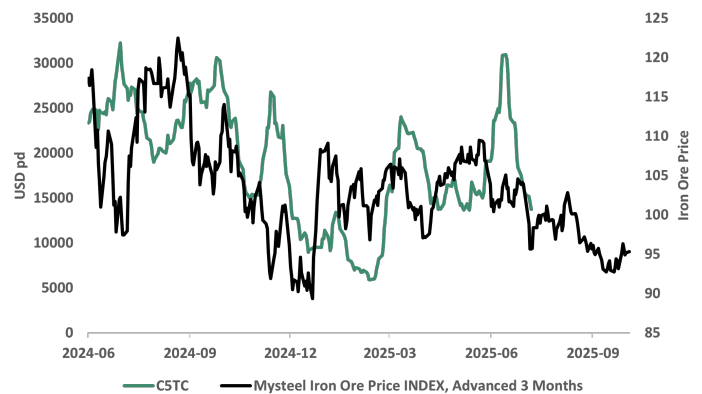
The market is finding its footing here in the low teens (old BCI index). It would be surprising to see it soften much further, given that the index is now below both that of Kamsarmaxes and Ultramax, and that Brazilian iron ore shipments are in high season.

However, Guinea Bauxite shipments are in the low season, and Australian iron ore shipments is not likely to pick up markedly in the near-term. Therefore, a low/mid teens index average seems most likely in the coming weeks.

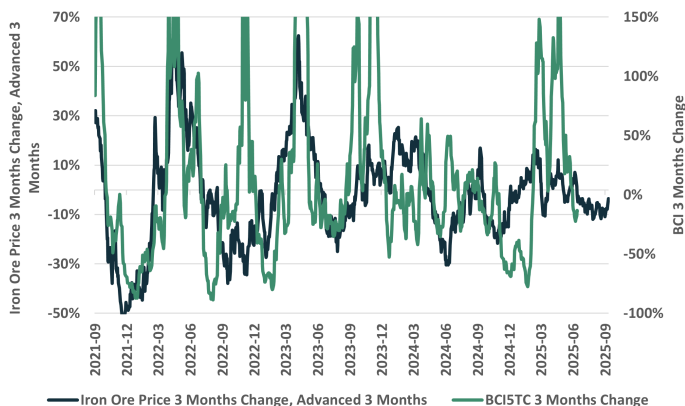
1 Month Change of China's Daily Imported Iron Ore Consumption, 1.5 Months Lead, vs C5TC 1 Month Change



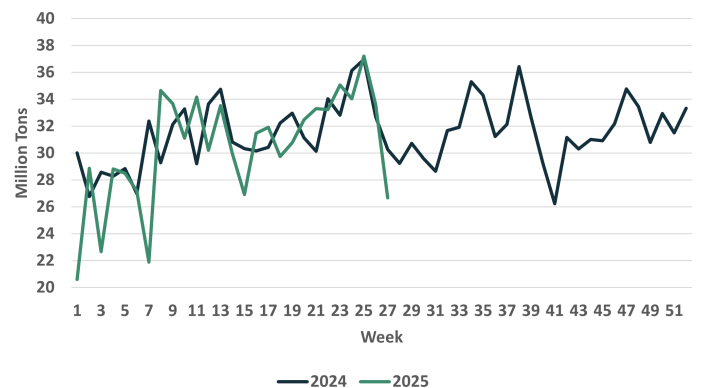
Iron Ore Price, 3 Months Lead, vs C5TC



3 Months Change of the Iron Ore Price, 3 Months Lead, vs 3 Months Change of C5TC



Capesize/Newcastlemax Weekly Shipment Volumes 2024 vs 2025





Panamax/Kamsarmax

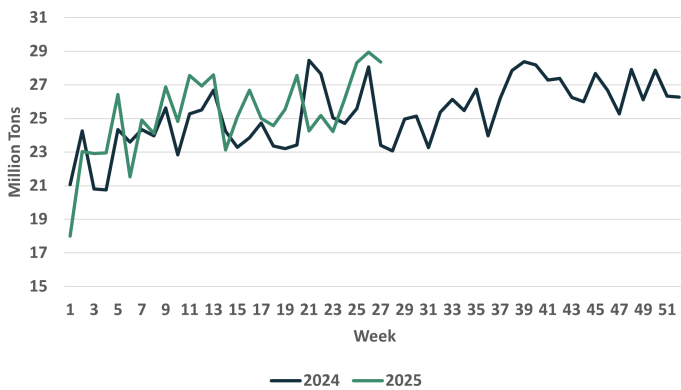
Two weeks ago, we wrote:

Average seasonality continues to be tracked very closely. That, along with the current firmness we see in both basins, means that rather than a slide down to the 10ks, the index could stabilize around 12k. However, fundamentals are not strong as shipment volume growth remains around 0%. Coal markets remain weak, and the ECSAM grain season will eventually wind down.

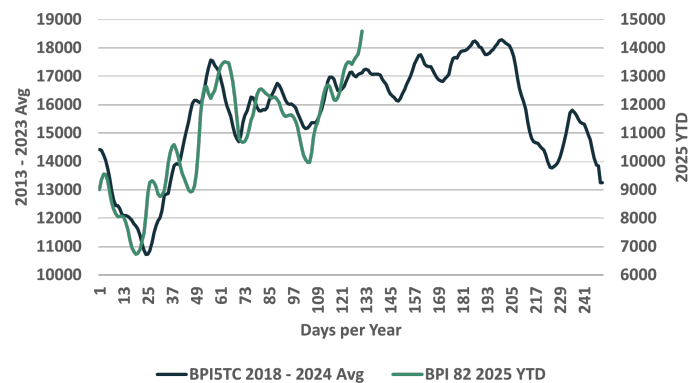
We gave the wrong market assessments leading into July. High temperatures in India, Europe, and East Asia have led to increased demand for coal, which partly explains the last weeks' market rally. Along with that, there has been a slight uptick in global manufacturing activity over the last months, evident from Markit's PMIs. The latter could be explained by front-running of Trump's tariffs, leading to an overshoot in activity that could turn into an undershoot, depending on how the tariff deadlines resolve.

So, it is questionable whether the current market levels are sustainable over the next months.

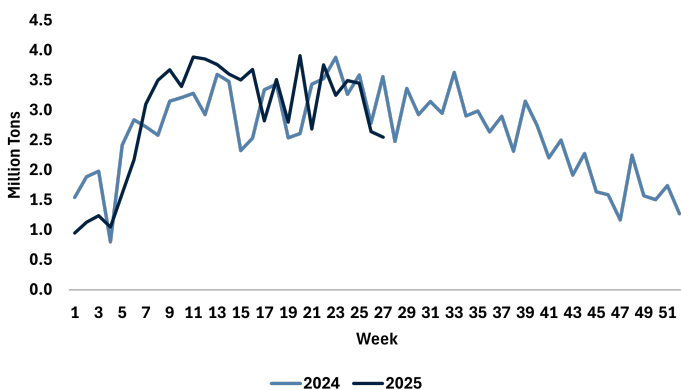
Panamax / Kamsarmax Coal Loadings by Month



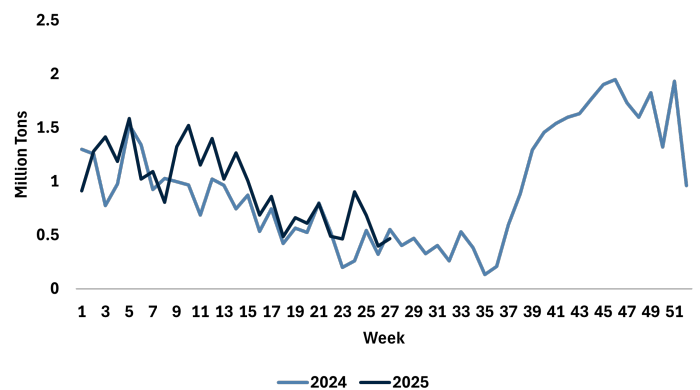
Kamsarmax Market Seasonality



Panamax / Kamsarmax Brazil Grains Exports 24 vs 25



Panamax / Kamsarmax USA Grains Exports 24 vs 25





Supramax/Ultramax

Three weeks ago, we wrote:

Fundamentals remain negative, with total shipment volume growth running at about 0%, against supply growth of about 5%. We do not see much chance of this changing over the next 6 months, and therefore expect market levels to remain below that of last year.

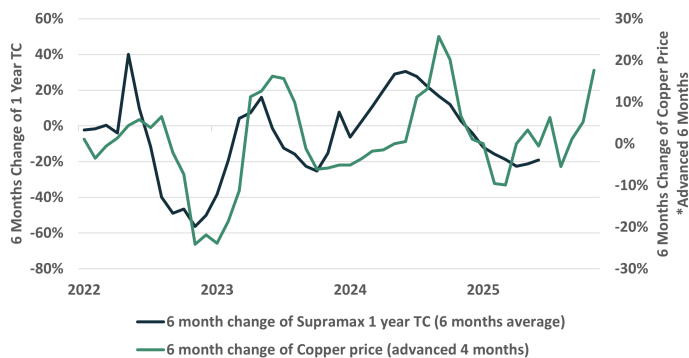
Looking past this year, we think fundamentals will improve. Lower energy costs and lower interest rates are likely to be the main drivers behind the next upcycle. Lower energy costs are already causing a relative improvement in Europe's manufacturing activity, which, along with front-running of Trump's tariffs, has contributed to firmer Atlantic markets over the last month or so (for all segments).

As long as energy costs remain at current levels (or drop further), global industry will receive a boost next year and in 2027. Coal prices probably have further room to fall, and oil markets are likely to be well supplied going forward, as IEA says, "Barring big disruptions, global oil markets are set to be well supplied over the next 5 years, with production capacity growth far exceeding the increase in demand".

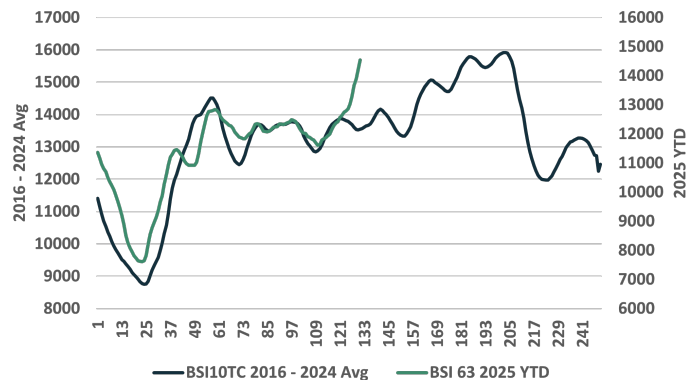
The bottom right chart displays that usually, lower yoy oil prices suggest the BDI will be higher yoy (and vice versa), with a 1-year lead.

We expected the Supra/Ultra market to continue trading sideways. As in the Pmx/Kmx segment, the surge in coal demand due to heatwaves has been a significant contributor to the last weeks' market rise. The ECSAM grain season also remains very active. Both factors are seasonal or temporary, so we are not yet convinced fundamentals support the Ultramax market to remain sustainably in the mid-teens.

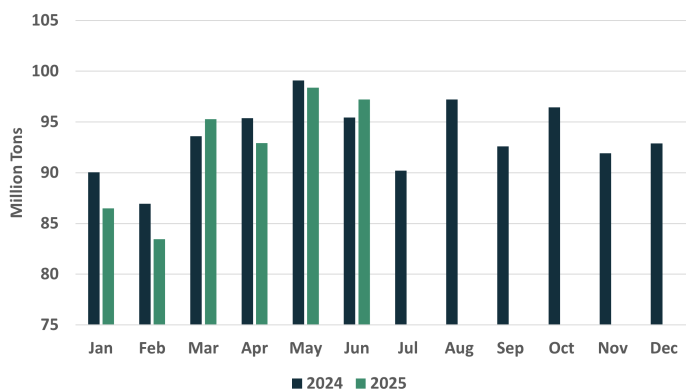
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



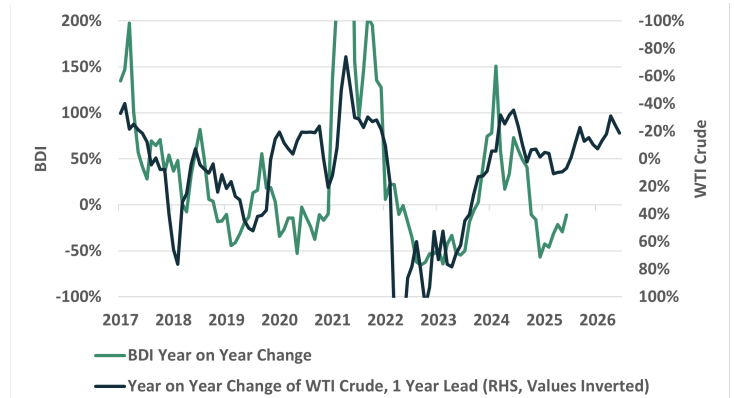
Supramax / Ultramax Market Seasonality



Supramax/Ultramax Monthly Shipment Volumes, by Year



WTI Crude Oil Price YoY Change, 1 Year Lead, vs BDI YoY





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company